TED (21) – 1143 REVISION 2021

FIRST SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE

MANAGERIAL ECONOMICS

MODEL QUESTION PAPER – SET-1

Time: 3 hours Maximum Marks: 75

PART A

I. Answer **all** questions in one word or one sentence **(9 x 1 = 9 Marks)**

1	Who was the father of Economics?	M 1.01	R
2	Human wants are ------------------- in nature.	M 1.02	R
3	State the meaning of economics.	M 1.01	R
4	Luxury goods have ____ degree of electricity.	M 2.04	R
5	In case of inferior goods, if the income rises then the demand _______.	M 2.01	R
6	All Factor of production become variable in –-----------	M 3.02	R
7	_________ curve never touch the ox-axis.	M 3.03	R
8	Which of these is associated with a monopolistic competitive market – (a) Product differentiation (b) Homogeneous Product (c) Normal in short run (d) Single buyer	M 4.02	R
9	“Setting the price low in order to attract customers and gain market share. The price will be raised later once this market share is gained.” Which type of pricing strategy?	M 4.04	R

PART B

II. Answer any ***eight*** questions from the following. Each question carries 3 marks.

(8 x 3 = 24 Marks)

1.	Define the term wealth.	M 1.03	R
2.	Explain the term utility.	M 1.04	U

3.	Define law of demand.	M 2.02	R
4.	List out the types of demand.	M 2.01	R
5.	State the meaning of elasticity of demand.	M 2.04	U
6.	Distinguish point elasticity of demand and arc elasticity of demand.	M 2.04	U
7.	State the meaning of External Economies.	M 3.04	R
8.	Summarize the law of variable proportion.	M 3.02	U
9.	Explain the term product differentiation.	M 4.02	U
10.	Explain the term Monopoly.	M 4.03	U

PART C

Answer **ALL** questions. Each question carries 7 marks.

(6 x 7 = 42 Marks)

III.	Summarize the exceptions to the Law of Diminishing Marginal Utility. OR	M 1.05	U
IV.	Explain the importance of Managerial Economics in decision making.	M 1.01	U

V.	Identify the reasons for the downward slopping of demand curve. OR	M 2.03	A
VI.	Supply schedule of Product X is given <table><tr><td>Price of x</td><td>Supply of ‘x’ goods</td></tr><tr><td>500</td><td>0</td></tr><tr><td>1000</td><td>10</td></tr><tr><td>1500</td><td>30</td></tr><tr><td>2000</td><td>55</td></tr><tr><td>2500</td><td>90</td></tr></table>From the above details: 1. Construct Supply Curve. 2. Develop the Law of Supply	M 2.05	A

VII.	Explain the determinants of supply. OR	M 2.05	U
VIII.	Explain factors affecting demand.	M 2.01	U

IX.	Factors of production are the inputs needed for the creation of goods or services. Do you agree with this statement? Identify features of different factors of production with suitable examples. OR	M 3.01	A
X.	"According to the law of return to scale when all inputs are increased in same proportions, the output is not increased in the same proportion." Interpret the Law with the help of diagram and chart	M 3.02	A

XI.	Distinguish average revenue and marginal revenue. OR	M 4.01	U
XII.	Explain the features of perfect competition.	M 4.02	U

XIII.	Distinguish between Duopoly and Oligopoly. OR	M 4.02	U
XIV.	Explain the following pricing strategies: a) Psychological pricing. b) Dynamic pricing:	M 4.04	U

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PART A

I. Answer **all** questions in one word or one sentence **(9 x 1 = 9 Marks)**

1	According to _______ definition economic is a social science.	M 1.01	R
2	Define total utility.	M 1.04	R
3	Point elasticity was propounded by--------	M 2.04	R
4	In case of inferior goods, income elasticity is-------------	M 2.04	R
5	State the meaning of supply.	M 2.05	R
6	Production may be defined as an act of ——————.	M 3.01	R
7	Define Marginal Cost.	M 3.03	R
8	Under ______ market condition, firms make normal profits in the long run.	M 4.03	R
9	When a firm calculates the cost of producing the product and adds on a percentage (profit) to that price to give the selling price is called ----- pricing strategy.	M 4.04	R

PART B

II. Answer any ***eight*** questions from the following. Each question carries 3 marks.

(8 x 3 = 24 Marks)

1.	Define the term Managerial Economics.	M 1.01	R
2.	Explain the term human wants.	M 1.02	U
3.	Interpret the term Standard of living.	M 1.03	U
4.	Explain the term extension and contraction of demand.	M 2.03	U

5.	Explain the term equilibrium price.	M 2.05	U
6.	List out the types of supply schedule.	M 2.05	R
7.	Summarize the term production function.	M 3.01	U
8.	Distinguish the following terms: a) Explicit costs b) Implicit costs	M 3.03	U
9.	Distinguish between total revenue and average revenue.	M 4.01	U
10.	Explain the following terms: a) Price leadership b) Target pricing	M 4.04	U

PART C

Answer **ALL** questions. Each question carries 7 marks.

(6 x 7 = 42 Marks)

III.	Summarize role of Managerial Economist in business decision making**.** **OR**	M 1.01	U
IV.	Describe the classification of goods.	M 1.02	U

V.	Distinguish value and price**.** **OR**	M 1.03	A
VI.	"The second glass of an orange juice gives lesser satisfaction to a thirsty boy". a) Identify which of the following law is applicable in this case. (a) Law of demand (b) Law of supply (c) Law of diminishing marginal utility b) Briefly explain that law.	M 1.05	A

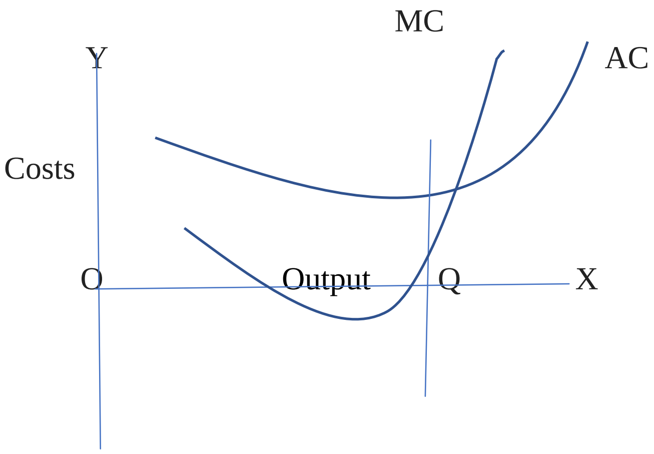
VII.	Summarize the assumptions of law of demand. **OR**	M 2.02	U
VIII	Explain the types of elasticity of supply.	M 2.05	U

IX.	From the following information: a) Draw fixed cost curve, variable cost curve and total cost curve. b) List out one feature of each of these curves.	M 3.03	A

Output	TFC	TVC	TC
0	10	0	10
1	10	4	14
2	10	7	17
3	10	9	19
4	10	11	21
5	10	14	24
6	10	17	27
7	10	21	31

OR

X.	Analyse the following diagram. Identify the relationship of MC curve and AC curve.	M 3.03	A



XI.	Explain the concept of cost function.	M 3.03	U
	OR		
XII.	Explain the types of internal economies of scale.	M 3.04	U

XIII.	Explain the features of monopoly.	M 4.02	U
	OR		
XIV.	Explain the features of monopolistic competition.	M 4.02	U